

FORM TP 2011127



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MAY/JUNE 2011

CARIBBEAN EXAMINATIONS COUNCIL
ADVANCED PROFICIENCY EXAMINATION

ACCOUNTING

UNIT 1 – PAPER 02

$2\frac{3}{4}$ hours

06 MAY 2011 (a.m.)

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C.E.S.E.C.

1. This paper consists of THREE questions.
2. EACH question is worth 35 marks.
3. ALL questions are COMPULSORY.
4. Begin EACH answer on a new page.
5. Silent non-programmable calculators may be used, but ALL necessary working should be clearly shown.



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C.E.S.E.C.

NOTHING HAS BEEN OMITTED.

GO ON TO THE NEXT PAGE

1. (a) During their review of the accounts of James Sargeant Company for the year to March 31, 2009, the external auditors realised that the company had not made the adjusting journal entries for the following items.
- (i) The rent expense account includes a payment of \$5 550 for the six months to April 30, 2009.
 - (ii) The electricity has only been paid up to December 31, 2008. There is an unpaid invoice in the records for the 3 months to March 31, 2009 for \$1 785.
 - (iii) The policy in Sargeant's company is to depreciate fixed assets at 18% on the reducing balance basis. At March 31, 2009, cost of fixed assets was \$138 900. Accumulated depreciation at April 01, 2008 was \$45 500. The company did not purchase or dispose of any fixed assets during the year.
 - (iv) Inventory on hand at March 30, 2009 was included at cost. Some items costing \$2 645 had been on hand for over 12 months. The company is convinced that it can sell them for \$4 000 but first it will have to spend \$2 250 to refurbish them.
 - (v) Sargeant Company had outstanding accounts receivable totalling \$20 000 as of March 31, 2009. There was also a credit balance of \$1 000 in the allowance for doubtful accounts. The company estimates that 8% of its outstanding receivables will be uncollectible.

Prepare the journal entries to record EACH of the above situations. **[15 marks]**

- (b) (i) Explain THREE purposes of accounting standards in the commercial activity of a country. **[3 marks]**
- (ii) The International Accounting Standards (IAS) are developed by a cross-section of persons from the society. Identify TWO groups of persons who are represented on the International Accounting Standards Board and give ONE reason for EACH group to show why it needs accounting standards. **[4 marks]**
- (iii) Define EACH of the following accounting concepts:
- Relevance
 - Reliability
 - Comparability
 - Consistency
- [8 marks]**
- (c) Outline FIVE ways in which accounting information in an Electronic Data Processing (EDP) environment can be controlled. **[5 marks]**

Total 35 marks

2. (a) The bookkeeper of Manuel Congo Company has prepared the following balance sheet as of July 31, 2010.

Manuel Congo Company			
Balance Sheet			
as at July 31, 2010			
	\$		\$
Cash	69 000	Accounts payable	44 000
Accounts receivable (net)	40 500	Mortgage	75 000
Inventories	60 000	Stockholders' equity	155 500
Equipment (net)	84 000		
Patents	21 000		
Total	274 500	Total	274 500

The following additional information is provided:

1. Cash includes \$1 200 in a petty cash fund and \$12 000 in a bond sinking fund.
2. The net accounts receivable balance comprises the following three items:
 - a) accounts receivable – debit balances \$52 000,
 - b) accounts receivable – credit balances \$8 000, and
 - c) allowance for doubtful accounts \$3 500.
3. The mortgage is subject to 10% interest every July 31 and matures in installments of \$5 000 every July 31, beginning July 31, 2011.
4. Equipment had a cost of \$112 000 and an accumulated depreciation balance of \$28 000.

Use the available information to adjust the account balances as appropriate and prepare a corrected classified balance sheet for Manuel Congo Company as at July 31, 2010, in good form. **[15 marks]**

GO ON TO THE NEXT PAGE

- (b) Most Caribbean business organizations fit into one of the following categories (type of entities):

- Proprietorship
- Partnership
- Company / Corporation
- Non-Governmental Organizations (NGOs)

Identify ONE benefit that will arise when operating a business under EACH type of entity listed above. **[4 marks]**

- (c) At December 31, 2010 an analysis of the accounts and discussions with the management of Pamponette Company revealed the following information after all adjusting entries were recorded:

	\$
Sales	1 100 000
Purchase discounts	18 000
Purchases	642 000
Selling expenses	128 000
Cash	60 000
Accounts receivable	90 000
Common stock	200 000
Accumulated depreciation	180 000
Dividend revenue	8 000
Inventory, January 1, 2010	152 000
Inventory, December 31, 2010	125 000
Unearned service revenue	4 400
Accrued interest payable	1 000
Land	370 000
Patents	100 000
Retained earnings, January 1, 2010	290 000
Interest expense	17 000
General and administrative expenses	150 000
Dividends declared	29 000
Allowance for doubtful accounts	5 000
Notes payable (maturity 7/1/2013)	200 000
Machinery and equipment	450 000
Materials and supplies (asset)	40 000
Accounts payable	60 000

All the accounts have normal balances. The company is subject to a 30% rate of corporation tax.

Prepare a multiple-step Income Statement, in good form, for the year ended December 31, 2010. **[16 marks]**

Total 35 marks

GO ON TO THE NEXT PAGE

3. Questions 3 (a), 3 (b) and 3 (c) are based on the following information.

As a loan analyst for National Commercial Bank, you have been presented with the following information.

	Panorama Company	Kaiso Fiesta Company
<u>Assets</u>	\$	\$
Cash	120 000	320 000
Accounts receivable	220 000	302 000
Inventories	570 000	518 000
Total current assets	910 000	1 140 000
Other assets	500 000	612 000
Total assets	1 410 000	1 752 000
<u>Liabilities and Stockholders' Equity</u>		
Current liabilities	300 000	350 000
Long-term liabilities	400 000	500 000
Capital stock and retained earnings	710 000	902 000
Total liabilities and stockholders' equity	1 410 000	1 752 000
Annual sales (all on credit)	930 000	1 500 000
Rate of gross profit on sales	30%	40%
Interest expense	40 000	60 000
Net income	95 000	135 000

Assume that the ending account balances are representative of the entire year.

Each of these companies has requested a loan of \$55 000 for 6 months with no collateral offered. Since your bank has reached its quota for loans of this type, only one of these requests can be granted.

GO ON TO THE NEXT PAGE

- (a) Compute the following ratios for both companies.
- (i) Current ratio [2 marks]
 - (ii) Acid-test (quick) ratio [2 marks]
 - (iii) Accounts receivable collection period [4 marks]
 - (iv) Inventory turnover ratio [2 marks]
 - (v) Debt to total assets ratio [2 marks]
 - (vi) Debt to equity ratio [2 marks]
 - (vii) Times interest earned ratio [3 marks]
- (b) Prepare a report for the bank outlining the performance of EACH company in terms of liquidity and solvency. [6 marks]
- (c) Indicate which of the two companies should receive the loan AND give ONE reason why it should. [2 marks]
- (d) The following three independent situations relate to Montego Company.
- (i) In August 2010 a worker was injured in an accident at one of the factories owned by Montego Company. The accident was partially the result of the worker's own negligence. The worker has sued Montego Company for \$800 000. Counsel believes it is reasonably possible that the outcome of the suit will be unfavourable for the company and that the settlement would cost the company between \$250 000 to \$500 000.
 - (ii) A suit for breach of contract seeking damages of \$350 000 was filed by a supplier against Montego Company on October 4, 2010. Montego's legal counsel believes that an unfavourable outcome is probable. A reasonable estimate of the award to the plaintiff is between \$100 000 and \$250 000. No amount within this range is a better estimate of potential damages than any other amount.
 - (iii) Montego Company is involved in a pending court case against one of its customers, Peete Company. Peete's lawyers believe it is probable that Montego Company will be awarded damages of \$1 000 000.

Discuss the proper accounting treatment, including any required note disclosures, for EACH situation in the financial statements / accounting records of Montego Company. [10 marks]

Total 35 marks

END OF TEST